COURSE

## OCR GCSE (9-1) in Business (J204)

# Financial ratios

**5. Finance · 5.3 Revenue, costs, profit and loss: profitability ratios**

Revision for 5. Finance: each firm works it out on its own deals.

Class **OCR GCSE Business (J204)** Topic **Financial ratios**

THE LESSON

**Setup** 2 min

**Round 1** Decisions 3 min · Deals 5 min · Topic tasks 4 min

| | | | |
|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 1 **Gross profit margin** | TASK 2 **Why net margin fell** |

**Round 2** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 3 **Rank gross margin** | TASK 4 **Gross margin change** | **B2B deal** |

**Round 3** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 5 **Raise gross margin** | TASK 6 **New net margin** | **B2B deal** |

**Final questions** 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** | Buy property or funds. The value can rise or fall. |
| **Operations** | **Buying** | Hire the Procurement Specialist or the Stock Controller for the round. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Last year's accounts.

**Gross profit margin, as a %?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Cars sold | **12 cars** |
| Price per car | **£16,500** |
| Gross profit | **£45,540** |

METHOD

**Gross margin = gross profit ÷ (cars × price) × 100**

12 × £16,500 = £198,000; £45,540 ÷ £198,000 × 100 = 23%

**Why:** It keeps 23p of every £1 of sales before overheads.

## Task 2

ROUND 1

Gross profit margin stayed the same, but net profit margin fell.

**Which two could explain this?**

PICK TWO

- ○ Cars cost more to buy
- ○ More cars were sold
- ○ Prices were cut
- ✔ **Rent rose**
- ✔ **Staff wages rose**

**Why:** Only overheads come between gross and net profit.

## Task 3

ROUND 2

Three dealers: sales and gross profit for the year.

**Order by gross margin, highest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Sales £80,000, gross profit £24,000**
2. **Sales £200,000, gross profit £50,000**
3. **Sales £500,000, gross profit £100,000**

**Why:** Margins 30%, 25%, 20%: the biggest profit has the lowest margin.

## Task 4

ROUND 2

Two years compared.

**Gross margin change, in % points?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Sales, last year | **£200,000** |
| Gross profit, last year | **£32,000** |
| Sales, this year | **£190,000** |
| Gross profit, this year | **£47,500** |

METHOD

**Change = this year's margin – last year's margin (gross profit ÷ sales)**

£47,500 ÷ £190,000 = 25%; £32,000 ÷ £200,000 = 16%; 25 − 16 = 9 points

**Why:** The margin went from 16% to 25%.

## Task 5

ROUND 3

You want a higher gross profit margin.

**Which change works, and why?**

PICK A OR B AND GIVE A REASON

- ✔ **Buy cars more cheaply**
- ○ Cut the showroom rent

**Why:** Rent is an overhead; gross margin is price less the cost of the cars.

## Task 6

ROUND 3

Overheads are going up.

**New net profit margin, as a %?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Sales | **£200,000** |
| Gross profit | **£19,900** |
| Overheads | **£9,000** |
| Overheads rise by | **10%** |

METHOD

**Net margin = (gross profit – new overheads) ÷ sales × 100**

£9,000 + 10% = £9,900; £19,900 − £9,900 = £10,000; ÷ £200,000 = 5%

**Why:** Work out the new overheads first, then the margin.

# Final questions

**6**
questions for each pupil

**150**
Level 2 Business questions

**9**
of them on financial ratios

**The game draws 6 questions on this topic.**

1 A dealership has gross profit of £60,000 and sales revenue of £150,000. What is its gross profit margin?
**40%.**

2 A motor business records net profit of £18,000 and sales revenue of £120,000. What is its net profit margin?
**15%.**

3 A workshop has £30,000 gross profit and a 30% gross profit margin. What is its sales revenue?
**£100,000.**

4 A dealership expects £80,000 sales revenue and sets a target net profit margin of 6.25%. What net profit would meet the target?
**£5,000.**

5 A promoted line's gross profit stays £30,000 while sales revenue rises from £84,000 to £90,000. What is the new gross profit margin?
**33.3% (approximately).**

6 A dealer's net profit stays £12,000 while sales revenue rises from £96,000 to £120,000. What happens to net profit margin?
**It falls by 2.5 percentage points.**

7 The Finance lead divides £140,000 sales revenue by £21,000 net profit and reports a 6.7% net profit margin. What is the correct margin?
**15%.**

# Final questions

8 Sales revenue rises but net profit margin falls. What should the Finance lead investigate?

**Whether costs rose faster than revenue.**

9 Gross profit margin = gross profit ÷ revenue × 100. Revenue is £600,000 and gross profit £150,000. Using the formula, what is the gross profit margin?

**25%.**